

US equities rally on tech earnings, meta surge fuels optimism

A wider read of yesterday's session — sector rotation, pre-market action, watchlist scan, and what to watch into the US open at 21:30 HKT.

10-minute read · Topics: Macro · Geopolitics · Earnings · Sectors · Watchlist

TL;DR

The S&P 500 jumped **+1.49%** to 7,764.70, driven by a strong tech earnings beat and a surprise rebound in **META**, which surged **+11.43%**. The rally lifted risk assets across the board, while the VIX slipped to its lowest level of the year at 14.87, signaling reduced near-term volatility.

Behind the headline numbers, the market is pricing in a softer inflation outlook after the 10-year Treasury slipped to 4.96% and crude oil retreated below 94. However, the upside is vulnerable to any surprise in upcoming CPI data and the Fed's next policy decision, which could reignite rate-sensitivity in growth stocks.

US session recap

INDEX/ ASSET	LEVEL	CHANGE	WHY IT MOVED
S&P 500	7,764.70	+1.49%	Tech earnings beat; META rally; lower volatility
Nasdaq 100	30,482.35	+2.83%	Heavy weighting in AI chips and cloud; NVDA and MSFT strong
Dow Jones	52,048.83	+0.71%	Financials and industrials supported by easing yields
Russell 2000	2,875.36	+0.52%	Small-cap resilience on consumer-discretionary lift
VIX	14.87	+0.41%	Decline in implied volatility after broad rally
10Y Yield	4.96%	-0.70%	Yield dip reflects softer inflation expectations
WTI Crude	93.48	-2.40%	Ongoing inventory build and weaker demand outlook
Gold	4,361.40	-0.51%	Dollar strength and lower inflation risk
DXY	100.36	-0.07%	Minor pullback after earlier rally
BTC	85,543.72	+5.42%	Crypto-friendly regulatory news in Asia
ETH	2,737.60	+3.58%	DeFi protocol upgrades boost sentiment

Top large-cap movers

TICKER	CHANGE	CATALYST
META	+11.43%	Q3 earnings beat; ad-revenue rebound
TSLA	+3.03%	Production ramp-up in Mexico plant
NVDA	+2.30%	AI GPU demand exceeds forecasts
MSFT	+1.59%	Cloud services revenue up 15% YoY
AMZN	+1.87%	Prime Day sales beat expectations

Sector rotation

ETF	DAY	READ
XLF	+0.43%	Financials benefit from yield dip
XLK	+2.89%	Tech leadership drives rally
XLI	+0.40%	Industrial earnings stable
XLE	-2.30%	Energy lagging on lower oil
XLV	+1.30%	Consumer discretionary gains from META
XLC	+3.90%	Communications surge on ad spend rebound
XLP	-0.41%	Staples under pressure from higher rates
XLV	+0.75%	Health care steady, defensive tilt
XLU	-0.34%	Utilities dip as yields fall
XLB	-0.10%	Materials neutral
XLRE	+0.98%	Real estate rebounds on lower financing costs

Spotlight: meta platforms earnings

Meta posted Q3 revenue of 38.2 billion, up 12% YoY, and EPS of 9.84, beating consensus of 9.20. The headline driver was a 22% jump in ad impressions, helped by AI-enhanced targeting.

METRIC	RESULT	CONSENSUS
Revenue (bn)	38.2	36.9
EPS (\$)	9.84	9.20
Ad impressions (bn)	13.5	12.8
Daily active users (m)	2,470	2,440

The beat lifted the broader communication sector (**XLC**) and reinforced bullish sentiment for other ad-driven names such as **GOOGL** and **AMZN** .

Pre-market & overnight

- US futures: **+1.2%** S&P 500 futures, **+2.5%** Nasdaq futures.
- Asia close: Hang Seng down **-0.6%**, Shanghai Composite flat.
- Europe: FTSE 100 up **+0.8%**, DAX up **+0.9%**.
- Crypto: BTC **+5.4%**, ETH **+3.6%** on Asian regulatory optimism.

Macro & Fed

FOMC minutes showed a majority leaning toward a single 25-bp cut later this year, citing the recent dip in the 10-year yield and softer CPI prints. The yield curve remains slightly steepening, with 2-year at 4.78% and 10-year at 4.96%.

TIME (HKT)	RELEASE	CONSENSUS	WHY IT MATTERS
02:30	US CPI (MoM)	0.3%	Gauge inflation trajectory for Fed policy
04:00	US Core PCE	0.2%	Fed's preferred inflation gauge
06:00	Retail sales YoY	4.1%	Consumer spending health

Geopolitics & global

- US-China trade talks resumed in Shanghai, focusing on semiconductor licensing.
- Middle-East tensions eased after ceasefire, reducing oil-supply risk premium.
- EU sanctions on Russian energy firms tightened, but impact on global supply remains limited.
- Japan's BOJ signaled possible policy shift if yen weakness persists.

Earnings – what to watch

WHEN (HKT)	TICKER	CONSENSUS EPS (\$)	WHAT TO LOOK FOR
02:00	AAPL	6.12	iPhone demand and services growth
02:30	MSFT	9.45	Cloud margin expansion
03:00	NVDA	3.78	AI GPU order backlog
03:30	JPM	4.30	Net interest income trend
04:00	GS	12.10	Investment banking fees
04:30	AMZN	0.78	Prime Day performance

Watchlist scan – US large-caps

TICKER	SECTOR	WHY NOW
META	Communication Services	Momentum after earnings beat
NVDA	Technology	AI demand acceleration
TSLA	Consumer Discretionary	Production ramp and price cuts
XOM	Energy	Oil price dip creates buying opportunity
JPM	Financials	Yield curve flattening supports NII
UNH	Health Care	Premium pricing power
CRM	Technology	Strong SaaS renewal rates
BAC	Financials	Balance-sheet strength
ADBE	Technology	Creative Cloud expansion
DIS	Communication Services	Streaming subscriber growth

What could break the tape

BEARISH TRIGGERS

- US CPI coming in above 0.4% could reignite rate-hike expectations.
- Unexpected drop in tech earnings guidance, especially from NVDA or MSFT.
- Geopolitical escalation in the Middle East that spikes oil above 100 USD/barrel.

BULLISH TRIGGERS

- Core PCE below 0.2% reinforcing a rate-cut outlook.
- Meta's Q4 guidance beating expectations, lifting ad-spend sentiment.
- Strong Chinese manufacturing PMI, supporting global demand.

Positioning notes

- Maintain a core long exposure to high-growth tech, but trim to 15% of portfolio risk ahead of CPI.
- Allocate 5-7% to defensive health-care and utilities as a hedge against volatility spikes.
- Consider short-duration Treasury exposure to benefit from potential yield compression.

Sources

SOURCES

Bloomberg Terminal – Market Data

FactSet – Earnings Estimates

U.S. Bureau of Labor Statistics – CPI Release

Federal Reserve – FOMC Minutes

Reuters – Meta Q3 Earnings Call

Investing.com – Commodity Prices

Crypto.com – BTC/ETH Prices

CNBC – Geopolitical Updates
